3. Consortium finance

Thousands of crores required to establish a mega factory is not available from a single source. Banks join together and provide consortium finance in such cases.

4. Service coverage to non-monetised sector

Branches of the banks are opened in rural and village areas so that the non-banking areas are provided banking services.

5. Balanced regional development

Banks transfer funds from surplus areas and make them available in scarce districts or areas for the formation and operation of business institutions. Even growth of different regions can be achieved through this function.

6. Smoothing of trade and commerce

For the efficient functioning of all traders and business institutions in a country, safe keeping of their funds, transfer of funds, payment and collection of funds when and where needed is very much necessary. Banks perform this function.

7. Development of industry, agriculture, MSMEs and SHGs

Banks design methods and instruments of financing each sector differently. They provide finance for small farmers, medium traders as well as industries. For example banks allow micro credit to SHGs, overdraft to traders and issue Certificate of Deposits to finance industries.

8. Implementation of monetary policy

Banks have established customer relationship with all public and business institutions through the network of branches. Broad guidelines or rules of the Government for the monetary sector of a country cannot be applied without such banks.

9. Encourages export and international trade

Banks open foreign branches or establish correspondent relationship with banks in foreign countries to help exporters. Instruments like letters of credit and international factoring services are undertaken to help exporters and importers.

10. New entrepreneurs and employment opportunities

Entrepreneurs obtain project loans and establish new business houses. By providing the required credit banks generate more economic activities and new employment opportunities.

Key Terms

Deposits, Loans, Electronic, Debit card, Credit card, Smart card, Core banking



For Own Thinking

In all ATM Centers, there are one or two machines, sometime it may be four or five. All ATM machines have some amount of money inside the box. In this way lot of currency notes are locked day by day. Think about the alternate way for avoiding this locking of currency notes.

Debate about the security problem in E-Banking system of services.

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